



# SUPPORT

A price level where buying interest is strong enough to prevent price from falling further.

PLAIN-LANGUAGE DEFINITION

Support is a level where the price usually stops falling and bounces up because buyers step in.

PROFESSIONAL DEFINITION

Support is a price area on a chart where demand overcomes supply, causing downward movement to pause or reverse. It is identified by repeated reactions at or near the same level.

TODAY'S ANALOGY

### The Floor

When price falls to the floor, buyers step in and push it back up — just like the floor holds the weight.

Buyers create the floor. That floor is support.

TODAY'S CHART CLUE

- Price drops to a level and bounces up
- Multiple touches of the same area
- Wicks (shadows) below the level
- Volume may increase on the bounce
- The level holds — at least for now

REAL-LIFE CLUES

- A price many investors think is a good deal
- A price customers refuse to pay less than
- The bottom of a range in real estate
- A law or rule that protects people
- A promise that builds trust

TODAY'S CHALLENGE

Open a chart and find one strong support level.

- Where did price bounce?
- How many times did it bounce there?
- What happened when price broke below it?
- Would you call it strong or weak

MEMORY SENTENCE

Support is where buyers say, ‘Not any lower.’ They create the floor.

### RELATED QRU CATEGORY

